CORPORATE LAWS & PRACTICES

May - 2026

Time allowed- 3:30 hours
Total marks- 100

[N.B. - The figures in the margin indicate full marks. Questions must be answered in English. Examiner will take account of the quality of language and of the manner in which the answers are presented. Different parts, if any, of the same question must be answered in one place in order of sequence.]

Marks

1. a) Alpha Manufacturing PLC, a public limited company incorporated under the Companies Act, 1994, has an authorised share capital of Tk. 10 crore, divided into 1 crore ordinary shares of Tk. 10 each.

The company's Statement of Financial Position as at 31 December 2025 shows the following:

Particulars	**Tk. (in crore)**
Paid-up Share Capital	6.00
Securities Premium	1.20
General Reserve	0.80
Retained Earnings	0.50
Long-term Bank Loan	2.00

Additional information:

1. The company has not declared or paid any dividend during the last three financial years.
2. The board of directors proposes the following resolutions at the forthcoming AGM:
   - Issue fully paid bonus shares to existing shareholders at the rate of 1 bonus share for every 5 shares held; and
   - Make an interim loan of Tk. 60 lakh to Mr. X, a director of the company, at a concessional rate of interest.

Assume that all amounts stated are correctly recorded and there are no contingent liabilities.

Requirements:

i) Examine, with reasons, whether Alpha Manufacturing PLC can legally issue the proposed bonus shares under the Companies Act, 1994. 4

ii) Advise whether the proposed loan to Mr. X is permissible under the Companies Act, 1994. 3

b) Nova Power Ltd. appointed Mr. Rahim as Managing Director for five years under a shareholder-approved contract. After two years, due to internal disputes, the Board removed him by resolution citing loss of confidence. Due to conflicts, AGM was not held within statutory time.

Requirements:

i) Distinguish between statutory validity of removal and contractual consequences. 4

ii) Analyze legal consequences of failure to hold AGM. 3

iii) Advise remedies available to Mr. Rahim and shareholders. 3

c) Brilliant Textiles Ltd. suffering accumulated losses reduced share capital by ordinary resolution and adjusted accounts without court approval and creditor notice.

Requirements:

i) Identify whether the capital reduction is void or voidable. 3

ii) Assess creditor rights after adjustment. 3

iii) Advise director liability if court rejects the reduction. 2

2. a) XYZ Agro-Tech Limited, a publicly listed company on the Dhaka Stock Exchange (DSE), operates in the agro processing and export oriented sector with a market capitalization of approximately BDT 1,500 crore.

Following complaints from institutional investors and abnormal price movement of the company's shares, the Bangladesh Securities and Exchange Commission (BSEC), exercising its powers under applicable securities laws, jointly appointed M/s PQR & Co., Chartered Accountants, to conduct a forensic audit of the company.

The forensic audit report has identified multiple serious violations of securities laws, corporate governance requirements, and market conduct regulations, summarized as follows:

- The company failed to publish its audited financial statements within 120 days from the end of the financial year, in violation of BSEC rules, circulars, and IFRS based financial reporting requirements.
- Undisclosed related party transactions (RPTs) aggregating BDT 75 crore were entered into with a logistics company owned by a close relative of the Chief Financial Officer, without approval of the Board, Audit Committee, or disclosure to shareholders, contrary to requirements under securities laws and the BSEC Corporate Governance Code.

- Instances of circular trading and price manipulation were detected through three affiliated brokerage accounts, resulting in an artificial 42% increase in share price within a 21 days' period, potentially amounting to market manipulation under the Securities and Exchange laws.
- The company remained persistently non-compliant with the BSEC Corporate Governance Code, including failure to appoint the minimum required number of Independent Directors and absence of properly documented Audit Committee meetings for the last two consecutive quarters.

Based on the above findings, the BSEC has:

- Initiated formal enforcement proceedings,
- Suspended trading of the company's shares on a temporary basis, and
- Issued notices to the company and certain directors to show cause why regulatory actions, penalties, and disqualifications should not be imposed.

Requirements:

As a professional Chartered Accountant advising on corporate and securities regulatory compliance, analyze the above situation and answer the following:

i) Analyze the statutory breaches, legal liabilities, and regulatory exposures of XYZ AgroTech Limited under the Securities and Exchange Ordinance, Securities laws, Companies Act, BSEC Rules, Regulations, and relevant circulars, including potential monetary penalties, trading restrictions, and enforcement measures. 4

ii) Critically evaluate the impact of market manipulation, disclosure failures, and governance deficiencies on investor confidence, institutional credibility, long term company valuation, and discuss how regulatory enforcement actions, trading suspension, and media disclosures may influence market perception. 3

iii) Recommend a comprehensive compliance and remediation action plan, addressing: 3
   - strengthening of internal controls,
   - restoration of corporate governance compliance,
   - corrective financial reporting and disclosures, and
   - engagement with regulators, shareholders, and other stakeholders, including the possibility of settlement, consent orders, or compounding of offences where permitted under securities laws.

iv) Examine the duties, responsibilities, and potential personal liabilities of the Board of Directors and the Audit Committee, including risks of director disqualification, fit and proper violations, and removal, and suggest measures to strengthen oversight, accountability, and future compliance with BSEC regulations and governance standards. 3

b) ABC Industries Limited, a publicly listed manufacturing company on the Dhaka Stock Exchange, has recently come under regulatory scrutiny due to serious corporate governance lapses.

Mr. A. Rahman, a Sponsor Director of ABC Industries Limited, officially holds 18% of the company's issued share capital. During the last financial year, it is alleged that he has acquired an additional 10% beneficial ownership through nominee BO accounts maintained with two offshore custodians based in Singapore and Mauritius. These acquisitions were not disclosed to the company, stock exchanges, or the Bangladesh Securities and Exchange Commission (BSEC).

Using this undisclosed influence, Mr. Rahman has allegedly:

- Caused the reconstitution of the Audit Committee by removing the only financially literate Independent Director and appointing a business associate who does not meet the independence criteria.
- Influenced the appointment of a new CEO without any recommendation from the Nomination and Remuneration Committee (NRC) and without a properly convened board meeting.
- Failed to disclose related party transactions (RPTs) involving a supplier entity controlled by his family members.
- Dominated board decisions in a manner amounting to shadow directorship, thereby undermining minority shareholder interests.

Following complaints from institutional investors and independent directors, the BSEC has issued a show cause notice to the company for violation of securities laws and the Corporate Governance Code.

Requirements:

Assuming you are the Company Secretary of ABC Industries Limited, prepare a compliance checklist and remedial advisory for the Board, highlighting the applicable legal framework and corrective measures to prevent and address non-compliance in the following areas:

i) Disclosure and Compliance Obligations 3

ii) Board Governance and Committee Integrity 3

iii) Regulatory Risk and Company Exposure 3

iv) Fiduciary and Ethical Responsibilities 3

3. a) After the year-end but before issuing the financial statements, the CFO of ABC PLC, a listed company, instructed the finance team to record additional revenue without valid supporting documents to meet the criterion of some prospective investors. The external auditors detected the issue and asked for reversal, but the CFO refused and tried to convince the auditors stating that "FRC will never know the fact."

Requirement:

What are the auditors' responsibilities under the Financial Reporting Act, 2015, and what actions may FRC take against the CFO? 5

b) XYZ Power Ltd., a Public Interest Entity (PIE), prepared its financial statements for the year ended 30 June 2025 in accordance with IFRS as adopted in Bangladesh. The statutory audit was completed on 15 November 2025, and the audited financial statements were duly filed with the Registrar of Joint Stock Companies and Firms (RJSC) within the prescribed time.

During a regulatory review conducted by the Financial Reporting Council (FRC), it was observed that XYZ Power Ltd. recognised gratuity obligations on a pay as you go basis without obtaining an actuarial valuation, despite having a defined benefit gratuity scheme covering a significant number of employees.

No explanation or disclosure was made in the financial statements or directors' report regarding this departure from IFRS requirements.

Requirements:

With reference to the Financial Reporting Act, 2015, and applicable IFRS requirements, briefly discuss:

i) whether XYZ Power Ltd., as a PIE, has complied with its financial reporting obligations; and 3

ii) the regulatory implications that may arise from such non-compliance. 2

4. a) Ever-Green Industrial Solutions (Private) Limited, a private limited company incorporated in Bangladesh, obtained a term loan of BDT 150 crore from Pioneer Bank Limited, a scheduled commercial bank. The facility was sanctioned against collateral consisting of industrial land and plant & machinery, the valuation of which was carried out by a third party valuer engaged on the borrower's recommendation.

The company defaulted in repayment within 18 months from the date of first disbursement. Upon inspection and subsequent investigation, the bank identified the following irregularities:

- The loan proceeds were diverted to entities and activities unrelated to the sanctioned purpose.
- The collateral security was grossly overvalued, exceeding 300% of its fair market value.
- Mr. Rahman, a director of the company and personal guarantor of the loan, though financially capable, refused to discharge his obligations under the guarantee, asserting that he had no knowledge of the inflated valuation or misuse of funds.

The matter was reported to Bangladesh Bank, which initiated proceedings under the Bank Company Act, 1991 (amended up to 2023) and issued a show cause notice to the borrower and the guarantor proposing their classification as willful defaulters. The guarantor contested the proposed action.

Requirements:

As a Compliance Officer of the lending bank, discuss the following issues with reference to the provisions of the Bank Company Act, 1991 (as amended) and relevant Bangladesh Bank directives:

i) Define willful default and examine whether Ever-Green Industrial Solutions (Private) Limited qualifies for classification as a willful defaulter. Briefly outline the procedure, timeline, and remedies available to the borrower, if any. 4

ii) Examine the liability of a personal guarantor in cases of willful default. In particular, assess whether a plea of ignorance regarding inflated collateral valuation and fund diversion can absolve the guarantor who, despite having financial capacity, refuses to honour the guarantee. 4

iii) State the due diligence responsibilities of banks in respect of collateral valuation and appraisal of borrower intent, and comment on the potential regulatory consequences for the bank in case such duties are breached. 3

b) Mr. Alam is a director of XYZ Bank Limited. It is found that the bank has granted a large loan of BDT 150 crore to a company in which Mr. Alam has a substantial interest. The loan was granted without prior approval from Bangladesh Bank. Later, the loan turned non-performing. Therefore, Bangladesh Bank initiated an inquiry.

Requirement:

Whether the loan is valid and what are the consequences under the Banking Companies Act, 1991 for granting such a loan? 4

5. Nexus Finance Company PLC (NFC PLC) had long been considered a stable mid-tier institution. Its financial statements consistently showed moderate growth, steady profitability, and compliance with regulatory ratios. However, over time, the management began quietly restructuring problem loans rather than recognizing them as non-performing.

Large borrowers facing financial stress were granted repeated rescheduling facilities. New loans were issued to repay old ones, effectively masking default. At the same time, NCF PLC increasingly relied on a small group of institutional depositors for funding, offering above-market returns.

Internally, the risk management unit had flagged concerns regarding concentration risk and asset quality deterioration. However, these reports were diluted before being presented to the Board. The Board, relying on summarized reports, remained unaware of the true situation.

When one major depositor suddenly withdrew funds due to unrelated liquidity needs, the company struggled to meet the outflow. This triggered market rumors, causing other depositors to follow. Within weeks, NFC PLC faced a severe liquidity crisis.

Requirements:

Give your answers on the followings:

a) What governance failures contributed to the situation? 2

b) What early regulatory intervention could have prevented collapse? 3

6. Guardian Assurance Bangladesh Ltd., a listed life insurance company, maintains a *Life Insurance Fund* in accordance with the Insurance Act, 2010. As at 31 December 2025, the following information is extracted from its financial records:

- Total Life Fund balance: BDT 1,800 million
- Available Solvency Margin (as reported): BDT 210 million
- Required Solvency Margin (prescribed by IDRA): BDT 150 million

Additional Information:

1. The insurer has invested BDT 420 million in unlisted equity shares of its sponsoring company, exceeding the exposure limit prescribed by IDRA.
2. Outstanding admitted claims amount to BDT 260 million.
3. Claims amounting to BDT 180 million have remained unsettled for more than six months without completion of investigation or adequate explanation.
4. Under applicable laws and IDRA directives:
    - Investments beyond permitted limits are treated as inadmissible assets for solvency purposes.
    - Delay in settlement of claims is considered a serious violation of policyholder protection provisions.
    - No surplus, dividend, or bonus may be declared unless statutory solvency margins are fully complied with.

Despite the above, the Board of Directors has proposed:

- Transfer from Life Fund to Shareholders' Fund: BDT 120 million
- Final dividend declaration: BDT 80 million

Requirements:

a) Determine the amount of inadmissible assets and compute the adjusted Available Solvency Margin. 4

b) Comment on whether Guardian Assurance Bangladesh Ltd. meets the statutory solvency requirements under the Insurance Act, 2010 after adjustment. 3

c) Examine the legality of the proposed transfer from Life Fund and declaration of dividend, citing relevant provisions of the Insurance Act, 2010. 3

7. Green Apparel Ltd. operates a large garment manufacturing facility employing more than 1,200 workers. To improve efficiency, management introduced extensive automation, resulting in the immediate termination of 300 workers. The terminations were effected without prior notice, consultation with labour authorities, or payment of retrenchment compensation and gratuity.

Management claimed that the terminations were operationally necessary and not intended as retrenchment. The affected workers lodged complaints with the labour authorities.

Requirements:

a) Determine whether the termination constitutes retrenchment or termination simpliciter, and explain the legal consequences of such classification. 4

b) Analyze whether introduction of automation can legally justify denial of retrenchment benefits. 4

c) Examine the scope for simultaneous civil liability and criminal prosecution against the employer. 2

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